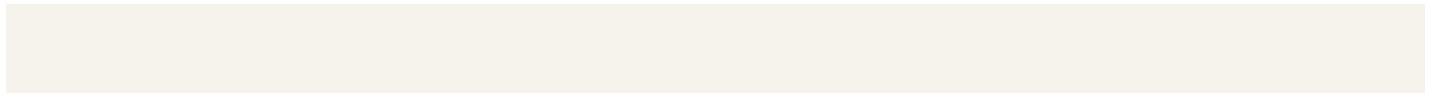




Too Small to Bother.

The minimum size of a software company collapsed.
That made a lot of small durable businesses possible
and made the typical one worse. Both are true, and only
one of them gets written about.

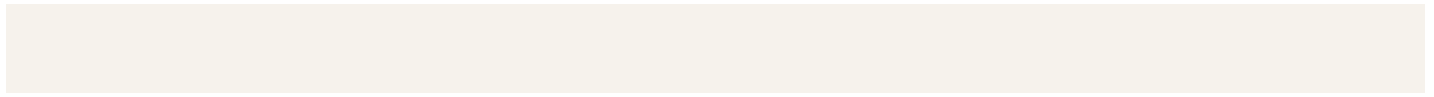


5,060 → 7,857

In 2017 there were 5,060 software companies in America with fewer than five employees. By 2022 there were 7,857.



SOFTWARE COMPANIES WITH FEWER THAN FIVE EMPLOYEES • UP 55% IN FIVE YEARS,
ABOUT 9.2% A YEAR
US CENSUS BUREAU, STATISTICS OF US BUSINESSES • BARS TO SCALE FROM ZERO



57.5%

of American software publishers
are now four people or fewer,
against 50.5% five years earlier

\$5.30B

booked together, roughly
\$674,676 each

11,022

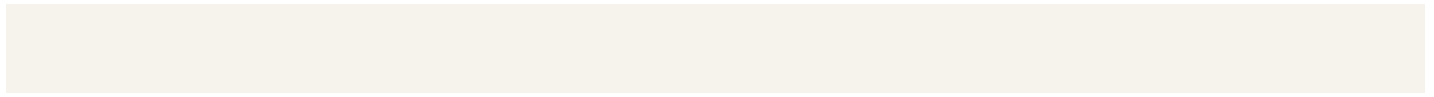
firms under twenty people,
and \$14.73 billion

2x

the number of solo operators
clearing a million dollars a year,
2023 to 2025 · Stripe Economics

A business doing \$674,676 a year is not a story, it is somebody's life, and there were almost eight thousand of them by the time anyone counted.

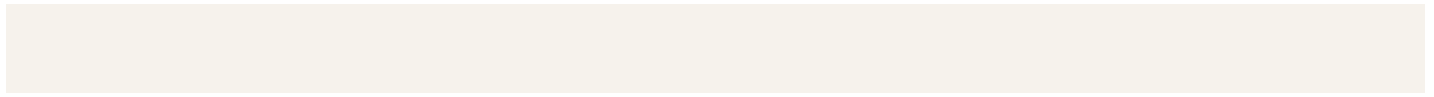
Nobody covered it.



The chain that broke

For about twenty years, building software forced you to be big, and the forcing was mechanical rather than cultural.

01	Team	The work took a team.
02	Capital	A team took capital.
03	Outcome	Capital needed an outcome large enough to repay it with a multiple on top.
04	Market	An outcome that size needed a market large enough to justify the whole apparatus.

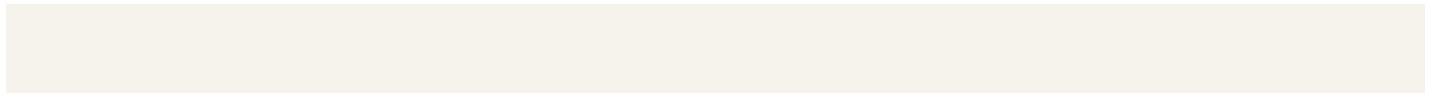


The first link broke.

No team means no capital. No capital means no obligation to produce an outcome large enough to repay it. No such obligation means the market no longer has to be large enough to justify anything.

A person working alone now does what recently took several people. I am not going to put a number on that, because the honest research is contested and picking the flattering study is how this genre lies. What I will say is that the direction is not in dispute, and it is the only input that has to move for everything downstream to stop applying.

AXIOM 01 Every remaining link was load-bearing only because the first one was.



The number I cut

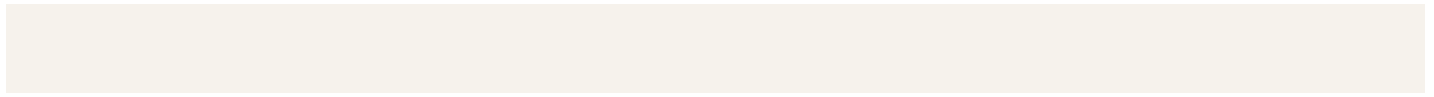
~~\$15B~~ → ~~\$60B~~

THE WIDELY QUOTED MICRO-SAAS MARKET SIZE • BY 2030

Has no source. Not a weak source. **None.**

It traces to a cluster of SEO pages citing each other, one of which names a market report that does not exist. Chased it, found nothing underneath it, cut it. Three separate research passes ended at the same empty blog post.

AXIOM 02 If a figure in here is shaky I would rather tell you than launder it.



The same collapse made the typical attempt worse

200x → 400x

TOP 5% OF NEWLY LAUNCHED APPS, AFTER YEAR ONE

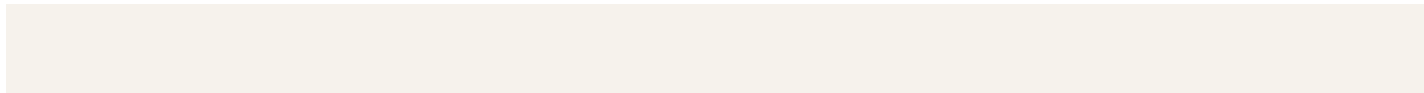


THE BOTTOM QUARTILE, DRAWN TO THE SAME SCALE



ACROSS ROUGHLY 115,000 SUBSCRIPTION APPS

It doubled. In a year.



+600,000

NEW IOS APPS IN 2025

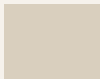
APPS ADDED

+30%

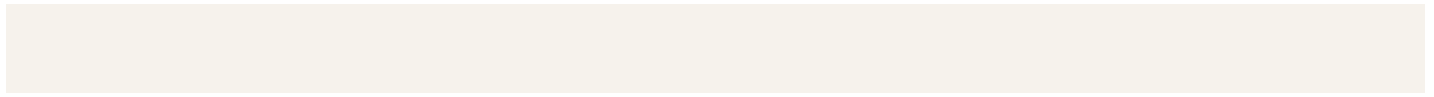


DOWNLOADS

+2 TO 3%



That is what happens when you remove a cost constraint from a market and leave the attention constraint exactly where it was.



100% APPS LAUNCHED**17.3%** REACH \$1,000 MONTHLY RECURRING REVENUE WITHIN TWO YEARS**4.6%** REACH TEN THOUSAND**<\$50**

the median app makes
under \$50 a month
after twelve months

70%

of micro-SaaS products
earn under a thousand
dollars a month

91%

of mobile publishing
revenue to the top 1%,
about 1,800 out of 184,800

AXIOM 03

**When the floor drops, more people can stand on it, and
it gets worse for the median person standing there.**



\$401M

A TELEHEALTH COMPANY, IN ITS FIRST FULL YEAR, ON ABOUT TWENTY THOUSAND DOLLARS OF STARTING CAPITAL

250,000

customers

16.2%

net margin, which is
\$65 million of profit

\$1.8B

tracking this year

2

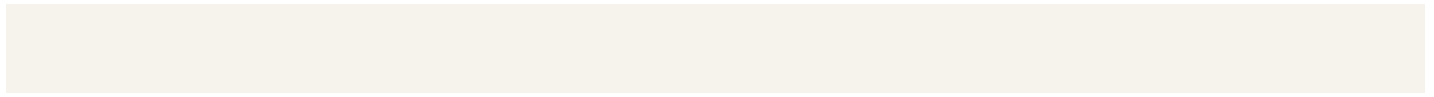
employees, who
are brothers

The founder does not employ the doctors, does not touch a prescription and did not build the medical infrastructure. All of it runs on two other companies, CareValidate and OpenLoop Health, which are rented.

**So the ceiling did not
come down. What
happened underneath it
is that the floor came out.**

AXIOM 04 Anybody telling you the unicorn is finished is selling
you the comforting half of a distribution that got more
extreme, not less.





One bet in a hundred does the work. The other ninety-nine are the price of finding it.

That is not a scandal. It is the stated model, published by the people running it, functioning exactly as designed. A fund does not work unless it catches outliers, which means a fund has to be constitutionally incapable of caring about a business doing \$674,676 a year.

AXIOM 05 Not hostile to it. Blind to it, the way a metal detector
is blind to wood.



4.4% OF STARTUP FUNDING IN THIS COUNTRY COMES FROM VENTURE



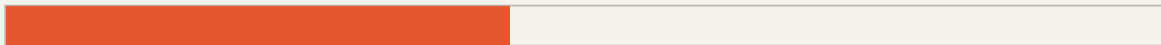
TRACK = ALL US STARTUP FUNDING • KAUFFMAN FIRM SURVEY

6.5% OF INC. 5000 COMPANIES, THE HIGH-GROWTH ONES, EVER RAISED ANY



TRACK = THE INC. 5000 • KAUFFMAN FIRM SURVEY

43.5% OF US GDP IS SMALL BUSINESS



TRACK = US GDP • SBA OFFICE OF ADVOCACY, FEBRUARY 2026

THREE DIFFERENT DENOMINATORS • EACH BAR IS DRAWN AGAINST ITS OWN BASE, NOT AGAINST THE OTHERS

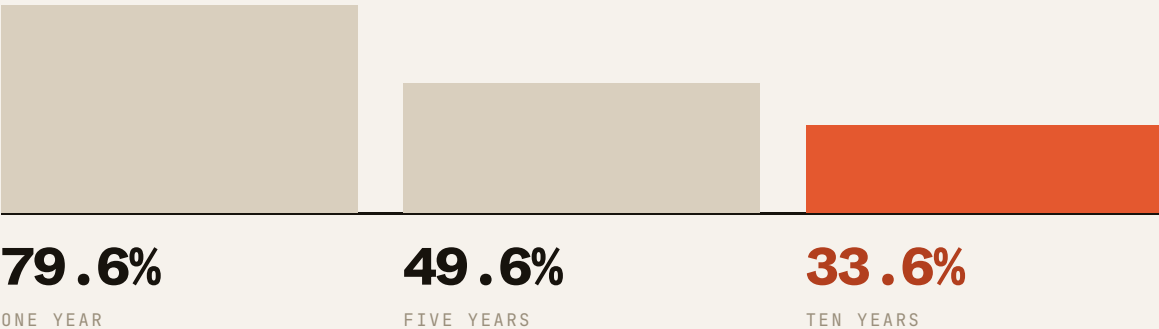
The selection criteria of an instrument that funds one twentieth of the activity escaped containment and became the general definition of a real company.



GOOGLE PLAY STORE LISTINGS, OVER ROUGHLY FIFTEEN MONTHS



ESTABLISHMENT SURVIVAL, MEASURED ACROSS 569,387



96.5% OF YOUTUBE CHANNELS BELOW THE US POVERTY LINE

Two thirds of everything ever started is gone inside a decade and none of it filed a report.

AXIOM 06 You notice it before you use somebody else's scoreboard to grade your own work.



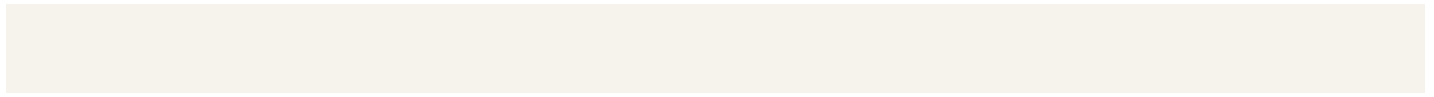
What actually defends a business this size

For a while I thought the answer was fluency. A market so specific you have to know it from the inside, where a competitor clones the product in a weekend and still has no idea what to build next.

This idea is not mine. See the lineage on the back page.

THREE OF THE MOST CAPABLE ORGANIZATIONS ON THE PLANET, LOSING TO SOMETHING THEY COULD NOT SEE

- | | |
|--------|---|
| GOOGLE | Launched an auto insurance comparison product in March 2015 and killed it by March 2016, inside a year. |
| ZILLOW | Spent about \$881 million buying houses badly and cut a quarter of its staff in November 2021, while owning one of the richest residential real estate datasets anywhere. |
| IBM | Its health unit spent \$62 million on a cancer project with MD Anderson that was terminated before it treated a patient. |



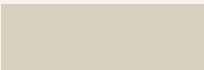
Then I went looking for where the idea fails. Constellation Software runs six operating groups across more than seventy vertical markets, buying exactly these companies and keeping the economics intact after the founder has gone. So the knowledge is institutionalizable. It is transferable. You can simply purchase it.

TOAST, FY2024

\$4.053B FINTECH REVENUE, MOSTLY PAYMENT PROCESSING



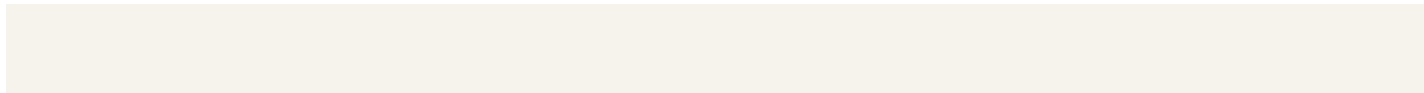
\$706M SOFTWARE SUBSCRIPTIONS, THE PART EVERYONE MODELS



The software is the wedge. The payments are the business.

Across every credit union in the United States from 1992 to 2005, outsourcing IT cut operating costs by roughly 30%. That is the entire mechanism, sitting in the literature, decades before anyone said micro-SaaS.

AXIOM 07 Fluency is the entry ticket, not the moat.



The market has to be too small to be worth an outsider's time. **Not too hard. Too small.**

A niche holds when what you have accumulated grows faster than the cost of reproducing it, and nobody with capital earns enough by paying that cost to bother. What protects you is not their incomprehension, it is their indifference.

AXIOM 08 Which means your protection and your ceiling are the same number.



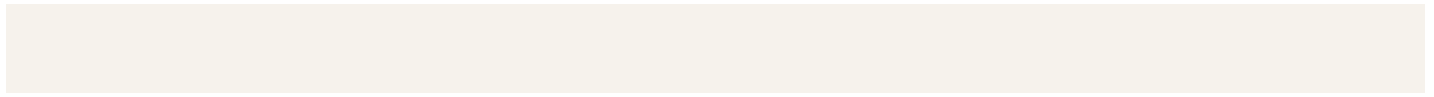
The obvious disclosure first: I have spent the last stretch building alone, so I would like this to be true. I notice the motive. It does not make the Census wrong, but weigh it.

Build cost was never the binding constraint. Distribution was, and it still is.

Everything that got cheap was the part that was never the problem.

Three decades of being profitable in one storefront is not a consolation prize for having failed to become Amazon.

It might just be what a business is. The last twenty years might be the weird part.



Sources & method

Every figure as the paper states it, with the source as the paper names it. Where nothing sits underneath a number, that is said plainly.

CENSUS, 2017 AND 2022

US Census Bureau, Statistics of US Businesses, NAICS 5112, released April 2025. 5,060 → 7,857 firms under five employees; 50.5% → 57.5% of publishers; \$5.30B receipts, roughly \$674,676 each; 11,022 firms under twenty people, \$14.73B.

SOLO OPERATORS

Stripe Economics. Operators clearing \$1M roughly doubled 2023 to 2025; closer to threefold at \$5M and \$10M.

THE NUMBER I CUT

No source exists. \$15B growing to \$60B by 2030 traces to a cluster of SEO pages citing each other, one of which names a market report that does not exist. Three independent research passes ended at the same blog post.

ROUGHLY 115,000 SUBSCRIPTION APPS

RevenueCat. Top 5% against the bottom quartile, 400× after year one, 200× the year before; median under \$50 a month after twelve months; 17.3% reach \$1,000 MRR within two years, 4.6% reach \$10,000.

MOBILE PUBLISHING AND SUPPLY

Sensor Tower, H1 2022: top 1% of publishers, about 1,800 of 184,800, took 91% of revenue. Sensor Tower, 2025: iOS added around 600,000 apps, up 30%, against download growth of 2 to 3%. Freemius, December 2025: roughly 70% of micro-SaaS earns under \$1,000 a month.

THE TELEHEALTH COMPANY

Forbes, 2 April 2026. Started on about \$20,000; \$401M in its first full year; 250,000 customers; 16.2% net margin, \$65M profit; tracking near \$1.8B; two employees, who are brothers; medical infrastructure rented from CareValidate and OpenLoop Health. Amodei forecast: Inc., reporting Code with Claude, May 2025.

VENTURE RETURNS

Correlation Ventures, 21,640 financings: 65% returned less than invested capital, about 4% ten times or more, about 0.4% fifty times or more. Horsley Bridge, roughly 7,000 investments: 6% of deals produced about 60% of returns. VenCap, 11,350 startups: about 1.1% ever returned the fund. The 31% band shown in the waffle is derived, not sourced.

SHARE OF ACTIVITY

Kauffman Firm Survey: venture supplies 4.4% of startup funding; 6.5% of Inc. 5000 companies ever raised any. SBA Office of Advocacy, February 2026: small business is 43.5% of US GDP. The three figures use three different denominators and are not directly comparable.

THE DELETION

TechCrunch, April 2025: Google Play listings fell from 3.4 million to 1.8 million in roughly fifteen months, about 47%. US Bureau of Labor Statistics, Business Dynamics, 1994 cohort, 569,387 establishments: 79.6% survive one year, 49.6% five, 33.6% ten. Bärtil: 96.5% of YouTube channels below the US poverty line.

THE THREE FAILURES

Insurance Journal: Google auto insurance comparison, March 2015 to March 2016. Company and press reporting: Zillow Offers, about \$881 million, a quarter of staff cut, November 2021. University of Texas System audit, February 2017: IBM Watson Health with MD Anderson, \$62 million, terminated.

THE MECHANISM

Toast 10-K, FY2024: \$4.053 billion fintech revenue against \$706 million software subscriptions. Constellation Software annual report, 2025: six operating groups, more than seventy vertical markets. NBER, all US credit unions 1992 to 2005: outsourcing IT cut operating costs by roughly 30%.

LINEAGE

Causal ambiguity, Lippman and Rumelt 1982. Tacit knowledge, Polanyi 1966. The knowledge of particular circumstances of time and place, Hayek 1945. Mētis, James Scott 1998. The Illegible Margin, Taylor Pearson 2017.

METHOD

